



IFSCA Grade A 2023

Previous Year Papers

Phase 2 – Paper 1 and Paper 2

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IFSCA Grade A 2023 Phase 2 – Paper 1 Recollected Questions

Essay Writing

Q1. Write an Essay of about 200 words on any one of the following topics: (30 Marks)

1. How do foreign exchange reserves impact national markets?
2. Young India: a boon or bane?
3. Road ahead for Indian economy.
4. Why National Logistics Policy is Important?

Precis Writing

Q2. Make a Précis of the following passage in 120-130 words and give it a suitable title.

(35 Marks)

It's taboo but we all think about it. We are told it's not good to talk or even think about death. We are all going to die. Death is a shadow that follows all the time. The recent pandemic had reminded us that death is always close by, one can face it any time, even the very next moment, there is nothing to be scared of it, and it is a fate we all will share.

Logically, all of us know that we are going to die but emotionally we feel invincible, and that is why we waste our time complaining so much, rather than being grateful enough. It's all because we don't have the right perception of death.

If you are going to die tomorrow, what will you do on your last day in this world? Would you rather waste your time thinking about the future or do something that will give you deep fulfilment and make your "now" more enjoyable.

Contemplating death puts things into perspective. We are here to experience life. It is just like a football game. The match starts when we are born, and when the final whistle blows, it's all over. There is no point in complaining about the weather, about your teammates not playing right. All you can do is go out there and do the best you can to score a goal.

Contemplating death makes you understand how precious this present moment is. The present never comes back. Future is just a concept; it never exists, what exists is now.

Awareness of death makes you feel liberated. Why will you not do something without thinking about what others might think of you? You are going to die one day. That day, the things that you are scared of won't matter. All your problems just won't matter, so invest your time in something that makes you happy.

The more you think about the inevitable death the more liberated you will be. Contemplating death makes you grateful for everything you have, everything you think, and all the experiences.

Look around for a second, look at the trees, the birds, and the people. There will come a time when everything that you see now will not exist, so every second spent with it is precious.

We are all going towards death, then why not say things that you never dared to say, forgiving the people with whom in the past you had negative experiences, and being grateful to people who had always been with you and had positively changed your life.

Becoming aware of your mortality is an awakening experience. It might help you in living your life authentically and entirely, and perhaps for the first time, you will truly be free

Reading Comprehension

Q3. Read the passage given below and answer the questions on the basis of the passage in your own words. (35 Marks)

India's service sector growth continued to strengthen in May, with companies reporting the quickest increase in business activity since April 2011, a monthly survey showed on Friday.

The seasonally adjusted S&P Global India Services PMI Business Activity Index rose to 58.9 in May from 57.9 in April, clocking the fastest rate of expansion in over 11 years. A reading above 50 indicates an overall increase in output.

The upturn was aided by a substantial pick-up in new business growth as demand continued to recover following the reopening of the economy after Covid-19 lockdowns.

"The reopening of the Indian economy continued to help lift growth in the service sector. Business activity rose at the quickest pace in over 11 years in May, supported by the fastest upturn in new orders since July 2011," says Pollyanna De Lima, economics associate director at S&P Global Market Intelligence.

Inflation outlook, however, worsened as input prices rose at the sharpest pace in the survey's history. Inflation showed no signs of abating as price gauges showed an unprecedented increase in input costs and the second-fastest upturn in selling charges in less than five years. May data marks the twenty-third successive month of rising input prices at Indian service providers. The rate of inflation climbed to the highest in 16-and-a-half years of data collection. Elevated price pressures continued to restrict business optimism. Despite picking up from April, the overall level of sentiment among service providers was historically subdued, says Lima.

Services firms reported substantial pressure from food, fuel, input, labour and transportation costs. But companies continued to transfer rising cost burdens to customers via upward adjustments to selling prices.

Despite remaining optimistic towards the 12-month outlook for business activity, firms remained concerned that inflationary pressures would dampen the economic recovery. The overall level of positive sentiment improved from April, but remained historically low.

There was a further increase in outstanding business among services firms during May. "The rise was fifth in consecutive months and the fastest in a year, but moderate overall. Where backlogs expanded, companies associated this with greater new orders," says the survey.

Still, service providers refrained from taking on additional workers in May. In fact, there was a renewed but only marginal decline in employment.

The latest results continued to signal subdued global demand for Indian services, with new business from abroad having now declined in each month since the onset of the Covid-19 pandemic in March 2020.

Consumer services remained the brightest spot of the service economy, posting the strongest increases in both new business and output during May.

- 1. Discuss the reasons for the spike seen in Service sector growth.**
- 2. Discuss the impact of inflation on the public**
- 3. Discuss the steps taken by service firms.**

IFSCA Grade A 2023 Phase 2 – Paper 2 Recollected Questions

Banking and Capital market

Q1. What is the leverage ratio of domestic systemically important banks (D-SIBs) in India?

- A. 3.5%
- B. 4%
- C. 4.5%
- D. 5%
- E. 5.5%

Q2. Which securities can individuals invest in under the Retail Direct Scheme?

- A. Government of India T-bills
- B. Government of India dated g-secs
- C. State development loans (SDL)
- D. Sovereign gold bonds (SGBs)
- E. All of the above

Q3. What is the Minimum Lock-in period of the medium- and long-term government deposits under the Medium- and Long-Term Government Deposit (MLTGD) account as per the Gold Monetization Scheme 2015?

- A. 1 year and 2 years
- B. 2 years and 3 years
- C. 3 years and 5 years
- D. 4 years and 6 years
- E. 5 years and 10 years

Q4. Banks must maintain a stock of gold that is at least equal to the amount of gold that is expected to be redeemed by depositors under the Medium- and Long-Term Government Deposit (MLTGD) account in the next _____.

- A. 3 months
- B. 6 months
- C. 9 months
- D. 12 months
- E. 18 months

Q5. Which of the following entities can participate in the auction of gold under the Gold Monetization Scheme (GMS)?

- A. RBI
- B. MMTC
- C. Banks
- D. 1 and 3
- E. All of the above

Q6. Which of the following Acts is not under the purview of the Reserve Bank of India (RBI)?

- A. Banking Regulation Act, 1949
- B. Reserve Bank of India Act, 1934
- C. Payment and Settlement Systems Act, 2007
- D. Negotiable Instruments act, 1881
- E. Insolvency and Bankruptcy Code, 2016

Q7. An NBFC -factor shall ensure that its financial assets in the factoring business constitute at least _____ of its total assets and its income derived from the factoring business is not less than _____ of its gross income.

- A. 10%
- B. 20%
- C. 30%
- D. 40%
- E. 50%

Q8. As per RBI's directions on Bank Finance to Non-Banking Financial Companies (NBFCs), what is the present ceiling on bank credit linked to the Net Owned Fund (NOF) of NBFCs?

- A. 100%
- B. 75%
- C. 50%
- D. 25%
- E. No limit

Q9. According to the Securities and Exchange Board of India (SEBI) annual report, how many clearing corporations are there in India?

- A. 3
- B. 4
- C. 5
- D. 6
- E. 7

Q10. As per the social stock exchange framework issued by SEBI, Not for Profit Organization (NPO) may not raise funds from which of the following?

- A. Mutual funds
- B. Equity
- C. Pension funds
- D. Insurance funds
- E. None of the above

Q11. What is the main objective of capital issued by a company?

- A. To promote a new company
- B. To expand an existing company
- C. To diversify the production
- D. To meet the regular working capital requirements
- E. All of the above

Q12. Anchor investors have a lock-in period of _____ during which they cannot sell their shares or offload their shares holdings

- A. 30 days
- B. 60 days
- C. 90 days
- D. 120 days
- E. 150 days

Q13. As per social stock exchange framework what is the minimum corpus requirement of Social Impact Fund?

- A. 1 crore
- B. 2 crores
- C. 3 crores
- D. 4 crores
- E. 5 crores

IFSCA and GIFT City

Q14. In the context of IFSC Banking Unit (IBU), what constitutes the minimum threshold for term deposits to be categorized as bulk deposits?

- A. US\$ 5,00,000
- B. US\$ 4,00,000
- C. US\$ 3,00,000
- D. US\$ 2,00,000
- E. US\$ 1,00,000

Q15. Which of the following statements about IFSC banking units is INCORRECT?

- A. IFSC banking units are required to maintain a Cash Reserve Ratio (CRR) on all deposits.
- B. IFSC banking units are allowed to offer a wider range of products and services than traditional bank branches.
- C. The IBUs will be required to scrupulously follow "Know Your Customer (KYC)", Combating of Financing of Terrorism (CFT) and other anti-money laundering instructions issued by the Reserve Bank from time to time.
- D. Eligible banks interested in setting up IBUs will be required to obtain prior permission of the Reserve Bank for opening an IBU under Section 23 (1)(a) of the Banking Regulation Act, 1949 (BR Act).
- E. IBUs can undertake transactions with resident (for deployment of funds) and non-resident (for both raising of resources and deployment of funds) entities

Q16. What is the minimum capital requirement of an IFSC Banking Unit (IBU)?

- A. USD 1 million
- B. USD 5 million
- C. USD 10 million
- D. USD 15 million
- E. USD 20 million

Q17. International Financial Services Centres Authority (IFSCA) banking units are not covered under which of the following?

- A. Foreign Exchange Management Act (FEMA)
- B. Securities and Exchange Board of India (SEBI)
- C. Reserve Bank of India (RBI)
- D. Centralized Deposit Insurance Scheme (CDIS)
- E. None of the above

Q18. In accordance with the International Financial Services Centres Authority (IFSCA) (Issuance and Listing of Securities) Regulations, 2021, what is the minimum size an initial public offering (IPO) must meet?

- A. USD 25 million
- B. USD 20 million
- C. USD 15 million
- D. USD 10 million
- E. USD 5 million

Q19. According to the International Financial Services Centres Authority Act of 2019, which of the following options is not classified as a financial product?

- A. Foreign Exchange Spot Contract
- B. Securities
- C. Contracts of Insurance
- D. Deposits
- E. Credit Arrangements

Q20. Section 13 of the IFSCA Act 2019 does not list which of the following regulators as a body whose powers have been transferred to the IFSCA?

- A. RBI (Reserve Bank of India)
- B. NFRA (National Financial reporting Authority)
- C. SEBI (Securities and Exchange Board of India)
- D. PFRDA (Pension Fund Regulatory and Development Authority)
- E. IRDAI (Insurance Regulatory and Development Authority of India)

Q21. What was the enactment year of the International Financial Services Centres Authority (IFSCA) Act?

- A. 2016
- B. 2017
- C. 2018
- D. 2019
- E. 2020

Q22. Units operating in the IFSCA are granted a ____% income tax exemption for ____ consecutive years of the 15-year term.

- A. 50% 10 years
- B. 89% 7 years
- C. 89%, 10 years
- D. 100% 7 years
- E. 100%, 10 years

Q23. Which institution is the first international university established within the IFSCA?

- A. Deakin University
- B. University of Wollongong (UOW) Australia
- C. Massachusetts Institute of Technology (MIT)
- D. London School of Economics (LSE)
- E. Stanford University

Q24. On what date did the International Financial Services Centres Authority assumed the powers of the RBI, SEBI, IRDAI, and PFRDA for IFSCs?

- A. 1st April,2020
- B. 1st May,2020
- C. 1st July,2020
- D. 1st September,2020
- E. 1st October, 2020

Q25. As per the Global Financial Centres Index, which listed financial centre does not feature among the top five financial center?

- A. Singapore
- B. Hong Kong
- C. Shanghai
- D. San Francisco
- E. New York

Insurance and Pension

Q26. Under NPS, how many Pension funds (PFs) other than the government sector are registered with PFRDA?

- A. 5
- B. 6
- C. 7
- D. 8
- E. 10

Q27. What is the maximum investment in equity allowed under the Atal Pension Yojana (APY) guidelines?

- A. 15%
- B. 40%
- C. 60%
- D. 80%
- E. 100%

Q28. The Central Government had introduced the National Pension System (NPS) with effect from January 1, 2004 (except for armed forces). Pension Fund Regulatory and Development Authority (PFRDA), the regulatory body for NPS, has appointed _____ as Central Recordkeeping Agency (CRA) for National Pension System.

- A. NSDL e-Governance Infrastructure Limited (NSDL)
- B. Protean eGov Technologies Limited
- C. Central Depository Services (India) Limited (CDSL)
- D. Karvy Computershare Private Limited
- E. Both Option A and C

Q29. As per IRDAI, corporate agent (health) may have arrangements with a maximum of _____ insurers in their respective lines of business.

- A. 3
- B. 4
- C. 5
- D. 6
- E. 9

Union Budget and Economic Survey

Q30. As per the Budget 2023 – 2024, phase 3 of the e- Courts project will be launched with an outlay of _____

- A. 5000 Crores
- B. 6000 Crores
- C. 7000 Crores
- D. 8000 Crores
- E. 9000 Crores

Q31. Mahila Samman Certificate will be made available for a two-year period up to _____ and the scheme will offer deposit facility upto _____ in the name of women or girls.

- A. March 2023; 4 lakhs
- B. March 2024; 6 lakhs
- C. March 2025; 4 lakhs
- D. March 2025; 2 lakhs
- E. March 2026; 8 lakhs

Q32. UIDF will be managed by the _____, and will be used by public agencies to create urban infrastructure in _____

- A. National Housing Bank; Tier 2 and Tier 3 Cities
- B. PFRDA; Tier 2 and Tier 3 Cities
- C. NABARD; Tier 2 and Tier 3 Cities
- D. LIC; Tier 2 and Tier 3 Cities
- E. SIDBI; Tier 2 and Tier 3 Cities

Q33. Total Estimated Expenditure in Budget 2023 – 2024 is _____.

- A. 40 lakh crores
- B. 45 lakh crores
- C. 50 lakh crores
- D. 55 lakh crores
- E. 60 lakh crores

Q34. Fiscal Deficit target in FY 2023 – 2024 _____ to be reduced to 4.5% by _____.

- A. 4.90; 2024 - 2025
- B. 5.50; 2024 - 2025
- C. 6.00; 2025 - 2026
- D. 6.25; 2024 - 2025
- E. 5.90; 2025 - 2026

Q35. Which of the following sector not been identified as One Hundred Critical transport infrastructure projects, for last and first mile connectivity?

- A. Ports
- B. Coal
- C. Consumer goods
- D. Steel
- E. Fertilizer

Q36. In which of the following year Railway Budget was merged with the Union Budget?

- A. 2017 - 2018
- B. 2016 - 2017
- C. 2015 - 2016
- D. 2014 - 2015
- E. 2013 - 2014

Q37. The average monthly gross GST collection has increased from crore in _____ FY18 to ₹1.49 lakh crore in FY23

- A. ₹0.65 lakh crore
- B. ₹0.70 lakh crore
- C. ₹0.75 lakh crore
- D. ₹0.80 lakh crore
- E. ₹0.90 lakh crore

Q38. Which of the following is not a challenge faced by the agriculture sector in India?

- A. Climate Change
- B. Fragmented Landholdings
- C. MSP
- D. Sub – Optimal Farm mechanization
- E. Low Productivity

Current Affairs

Q39. Which city was the only city to issue a municipal bond in the financial year (FY) 2021-22?

- A. New Delhi
- B. Vadodara
- C. Varanasi
- D. Prayagraj
- E. Bangalore

Q40. Which was the largest initial public offering (IPO) issued in India in financial year (FY) 2021-22?

- A. One 97 Communications (Paytm)
- B. Zomato
- C. Nykaa
- D. Policybazaar
- E. CarTrade

Q41. In 2021, India bought _____ Tonnes of gold jewellery, second only to which _____?

- A. 1090 tonnes, Russia
- B. 981 tonnes, Switzerland
- C. 872 tonnes, United Arab Emirates
- D. 621 tons, China
- E. 763 tonnes, United States

Q42. Life insurance density in India increased from US\$11.1 in 2001 to _____ in 2021 in keeping with the relatively faster expansion of the insurance market in the country.

- A. US\$20
- B. US\$50
- C. US\$65
- D. US\$80
- E. US\$91

Q43. According to Swiss Re, India is one of the fastest-growing insurance markets in the world. Swiss Re forecasts that India will become the sixth-largest insurance market by what year?

- A. 2025
- B. 2027
- C. 2030
- D. 2032

E. 2040

Q44. Which country is the world's leading insurance market, with the largest total premiums for both life and non-life insurance?

- A. China
- B. USA
- C. Japan
- D. Germany
- E. United Kingdom

Q45. According to the IFSCA annual report, what is the total number of Alternative Investment Funds (AIFs) registered with the IFSCA?

- A. 10
- B. 14
- C. 24
- D. 30
- E. 42

Q46. In FY 2021-22, the recognised stock exchanges in IFSC reported a notional turnover of USD 2,867 billion, registering a growth of ____% from the previous fiscal year.

- A. 25%
- B. 30%
- C. 40%
- D. 45%
- E. 50%

Q47. What is the amount of LIC IPO?

- A. \$ 2.3 billion
- B. \$ 2.4 billion
- C. \$ 2.5 billion
- D. \$ 2.6 billion
- E. \$ 2.7 billion

Q48. India became the 3rd largest automobile market, surpassing Japan and _____ in terms of sales.

- A. Germany
- B. UK
- C. France
- D. Canada
- E. South Korea

Q49. Kisan Credit Card Scheme was extended to fisheries and animal husbandry in which of the following year?

- A. 2018-19
- B. 2017-18
- C. 2016-17
- D. 2015-16
- E. 2014-15

Q50. States are allowed to have a deficit of _____ of their Gross State Domestic Product (GSDP), with _____ of this amount specifically designated for power sector reforms.

- A. 3.5%; 0.5%
- B. 4.5%; 0.6%
- C. 5.5%; 0.7%
- D. 5.6%; 0.8%
- E. 5.7%; 0.9%

IFSCA Grade A Phase 2 Paper 2 - Recollected Questions' Answer Key

Banking and Capital Market

Question	Answer	Question	Answer
1	B	9	C
2	E	10	B
3	C	11	E
4	A	12	A
5	E	13	E
6	E		
7	E		
8	E		

IFSCA and GIFT City

Question	Answer	Question	Answer
14	A	20	B
15	A	21	D
16	E	22	E
17	D	23	A
18	C	24	E
19	A	25	C

Insurance and Pension

Question	Answer
26	E
27	A
28	B
29	A

Union Budget and Economic Survey

Question	Answer	Question	Answer
30	C	38	C
31	D		
32	A		
33	B		
34	E		
35	C		
36	A		
37	E		

Insurance

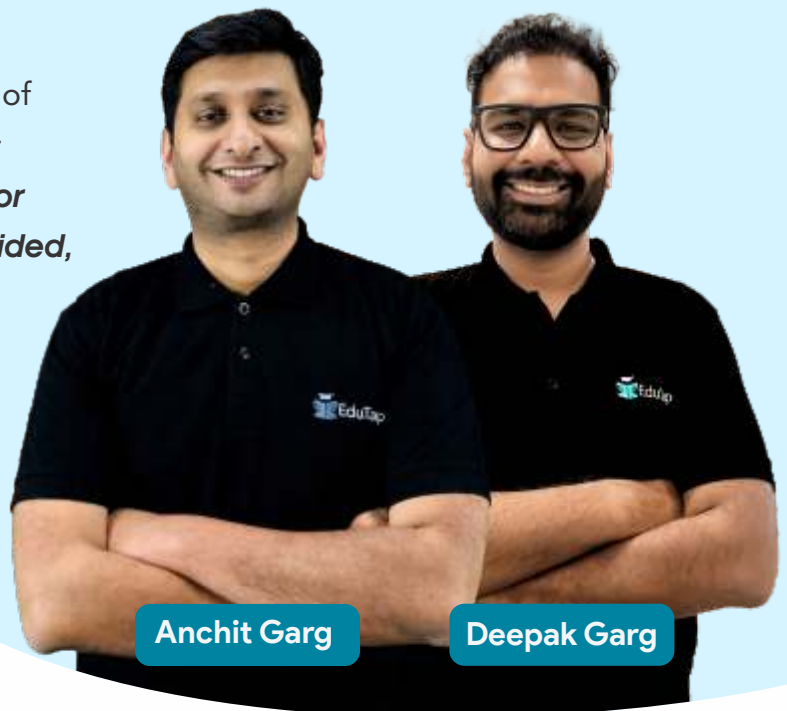
Question	Answer	Question	Answer
39	B	46	D
40	A	47	E
41	D	48	A
42	E	49	A
43	D	50	A
44	B		
45	C		

What Next?

1. **Identify Right Source:** Follow the best study resources (books, online courses, videos, etc.) for each topic on the list. Do not follow multiple sources for the same topic but rather follow good sources multiple times.
2. **Topic Prioritization:** Review the document to identify key topics that require special attention. Prioritize your study schedule based on the significance of each topic in the syllabus. Ensure a balanced approach, allocating more time to critical subjects.
3. **Width of Syllabus:** Merely going through the syllabus is not enough; Regularly revisit the document to reassess what topics actually need to be covered.
4. **Depth of Understanding:** Recognize the varying depths at which topics should be covered. While some concepts demand a broad understanding, others require a more in-depth analysis. Tailor your study approach, accordingly, allocating more time to complex topics that demand deeper comprehension.

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